

Introduction to Securities Market

- Securities Markets: Facilitates savings to investment.
- Primary Market: Deals with the issuance of new securities (equity and debt).
  - Public Issue: Allotment to 50+ investors.
  - Private Placement: Allotment to a select group of up to 49 persons.
- Secondary Market: Trading of existing securities after listing on the stock exchange.
  - Mediums: Over-the-Counter (OTC) and Exchange-Traded markets.

Key Market Indicators

- Stock Market Index: Represents the overall behavior of the equity market (e.g., CNX NIFTY for NSE).
- Market Capitalization: Value of all listed shares.
  - Formula: `Closing Price of Share * Number of Outstanding Shares`
- Market Capitalization Ratio: Market capitalization of stocks / GDP (measures stock market size).
- Turnover:
  - For a share: Traded quantity \* price.
  - Exchange Turnover: Value of all companies traded on the exchange.
- Turnover Ratio: Total value of shares traded for a period / Market capitalization (measures liquidity).

Products and Participants

- Products: Equities, debt securities, and derivatives.
- Participants: Investors, issuers, and intermediaries. Regulated by SEBI, RBI, MCA, and DEA.

Market Segments of NSE

1. Wholesale Debt Market (WDM) Segment (1994): Trading platform for debt securities.
2. Capital Market (CM) Segment (1994): Equity shares and related instruments. Uses National Exchange for Automated Trading (NEAT) system.
3. Futures & Options (F&O) Segment (2000): Trading in derivative instruments (index futures, stock futures, options).
4. Currency Derivatives Segment (CDS) (2008): Currency futures and options trading (e.g., USD-INR, Euro-INR, Pound Sterling-INR, Japanese Yen-INR). Interest rate futures introduced in 2009.

Reforms in Indian Securities Markets (Since 1992)

1. Creation of Market Regulator (1992): SEBI established to protect investors, promote, and regulate the securities market.
2. Screen Based Trading: NSE introduced SBTS for efficiency, liquidity, and transparency, replacing the open outcry system.
3. Reduction of Trading and Settlement Cycle: Uniform weekly trading cycle, rolling settlement, reduced to T+2 days (since 2003).
4. Equity Derivatives Trading (2000): Assists risk management through hedging, speculation, and arbitrage.
5. Demutualisation: NSE demutualised, separating ownership, management, and trading from brokers.
6. Dematerialisation: Two depositories (NSDL and CDSL) established for electronic transfer of securities (Demat) to address inefficiencies of paper-based settlements.
7. Clearing Corporation: NSE set up National Securities Clearing Corporation Ltd. (NSCCL) to address counter-party credit risk.
8. Investor Protection (2001): Central Government established Investor Education and Protection Fund (IEPF). Exchanges and SEBI maintain investor protection funds.
9. Globalisation:
  - Indian companies can raise resources overseas (ADRs, GDRs).
  - FIIs permitted to invest in all types of securities.
  - Indian stock exchanges can set up trading terminals abroad, accessible via the Internet.
10. Launch of India VIX (2008): Volatility index measuring market's expectation of short-term volatility (based on Nifty 50 Index Option prices).
11. Direct Market Access (2008): SEBI allowed DMA for institutional investors, enabling direct access to exchange trading system without manual intervention.
12. Launch of Securities Lending & Borrowing Scheme (2008): Allows market participants to take short positions

- efficiently.
13. Launch of Currency Futures (2008): NSE launched trading in USD-INR currency futures, later expanded to other pairs.
  14. ASBA (Application Supported by Blocked Amount): Primary market reform allowing investors to apply for IPOs/FPOs/rights issues without upfront payment; funds are blocked and only debited upon allotment.
  15. Launch of Interest Rate Futures (2009): Futures on interest rates launched on NSE.

Stock Broker

- Definition: Intermediary who arranges to buy/sell securities for clients.
- SEBI Requirement: Must be a member of a stock exchange and hold a SEBI registration certificate.

Member of NSE

- Membership: No entry/exit barriers, but members must meet eligibility criteria.
- Benefits:
  - Access to nation-wide trading for equities, derivatives, debt, and hybrid instruments.
  - Ability to provide fair, efficient, and transparent market.
  - Use of state-of-the-art electronic trading systems.
  - Dealing with an organization with strict trading & settlement standards.

New Membership

- Eligible Persons: Individuals, Partnership firms, LLPs, Institutions (including bank subsidiaries), Banks (for CDS), Body corporates.

Membership for Different Segments at NSE

- (a) Wholesale Debt Market (WDM) Segment
- (b) Capital Market (CM) segment
- (c) Capital Market (CM) and Wholesale Debt Market (WDM) segment
- (d) Capital Market (CM) and Futures & Options (F&O) segment
- (e) Capital Market (CM), Futures & Options (F&O) segment and Wholesale Debt Market (WDM) segment
- (f) Currency Derivatives (CD) segment (with or without other segments)
- (g) Clearing Membership of National Securities Clearing Corporation Ltd. (NSCCL) as a Professional Clearing Member (PCM).

Types of Memberships

- Normal Membership (Unrestricted Business Expansion):
  - Trading Member (cash, F&O, CDS, Debt)
  - Trading Cum Self Clearing Member (cash, F&O, CDS, Debt)
  - Trading Cum Clearing Member (F&O, CDS, Debt)
  - Professional Clearing Member (F&O, CDS, Debt)
- Alpha Membership (Focused Proprietary Trading):
  - Trading Member (cash, F&O)
  - Trading Cum Self Clearing Member (cash, F&O)
  - Trading Cum Clearing Member (F&O)
- Note: F&O and CD segment members are eligible to trade in interest rate futures. Membership can be for individual segments or combinations.

Member Categories & Roles

- Trading Member: Executes trades on own account and clients' accounts. Clearing and settlement done through a Trading-cum Clearing Member or Professional Clearing Member.
- Trading Cum Self Clearing Member: Executes trades and clears/settles trades for own account and clients' accounts.
- Trading Cum Clearing Member: Executes trades for own account and clients' accounts, and clears/settles trades for themselves and other trading members using their clearing services.
- Professional Clearing Member: Clears and settles trades of other Exchange members.

Eligibility Criteria for Membership at NSE

- Standards: Corporate structure (shareholding pattern), capital adequacy (paid-up capital), net worth, Interest Free Security Deposit (IFSD), Collateral Security Deposit (CSD), track record, education, experience.
- Purpose: Ensure quality broking services and build investor confidence.

- Corporate Structure: Risk containment includes 'Dominant Promoter/Shareholder Group' concept for all trading members.
- Net Worth & Other Deposits:
  - Net worth = Capital + Free Reserves - Non-Allowable Assets.
  - IFSD (liquid cash) and CSD (cash or non-cash).
- Application Procedure: Submit form and documents. Membership Recommendation Committee (MRC) interviews applicants for capability, financial standing, and integrity. MRC recommends names to Membership Selection Committee (MSC) for approval/rejection.
- Post-Approval: Provisional admission subject to SEBI registration, fees/deposits, and document submission. SEBI grants Registration Certificate.
- Enablement: After satisfying Exchange and NSCCL requirements, trading member is enabled on NEAT system. Dealers need to clear NCFM/NISM modules specific to their segment (CM, F&O, CD).

Membership Management

- Surrender of Trading Membership: Permitted after fulfilling conditions (clearing dues, notifying other TMs, public notification). Deposits released after lock-in period.
- Suspension and Expulsion: Exchange may expel, suspend, fine, censure, warn, or withdraw rights for contravention, non-compliance, disobedience of rules/regulations.

Authorized Persons

- Definition: Individual, partnership firm, LLP, or body corporate appointed by a stock broker to provide access to the exchange trading platform as an agent.
- Remuneration: Receives remuneration only from the stock broker, not clients.
- Client Relationship: Clients introduced by AP must have a direct relationship with the trading member. AP cannot have trading relationship with clients. Trading member issues contract notes and bills directly.

Sub-broker

- Role: Important intermediary between stock broker and client in the capital market.
- Appointment: Trading members appoint sub-brokers to assist investors in buying/selling securities.
- Registration: Affiliated to trading members and registered with SEBI.
- Association: Only with one trading member. Can be individual, partnership firm, or corporate.
- Tripartite Agreement: Required with clients and stock broker, defining rights and obligations.
- Grievance Redressal: Helps clients with grievances and arbitration proceedings.
- Account Reconciliation: Assists stock broker and clients in reconciling accounts quarterly.
- Contract Note: Sub-broker does NOT issue contract notes; stock broker issues them directly to the client. Sub-broker assists client in obtaining it.
- Settlement: Delivery/payment for client transactions settled directly between stock broker and client, not through sub-broker.

Unique Client Code (UCC)

- Mandatory: SEBI requires all trading members/brokers to use UCC for clients.
- PAN: Brokers collect and maintain client's Permanent Account Number (PAN).
- Verification: Brokers verify documents, retain copies, and provide PAN/UCC to exchanges/clearing corporations.
- Database: Exchanges maintain a database of client details.

Margins from Clients

- Risk Management: Members must have a prudent risk management system to protect against client default.
- Documentation: Policy for margin requirements must be documented and accessible to clients and exchanges.
- Segregation: Margins kept in separate client bank account/beneficiary account.
- Utilization: Used for payment to clearing corporation for margin and settlement in case of default.

Contract Note

Definition: Confirmation of trades executed for a client on a specific day.

- Issuance: Stock broker issues contract note to clients.
- Content: TM's name/address, SEBI registration number, trade details (order number, time, security name, quantity, price, brokerage), settlement number, other levies.
- Retention: TM must preserve duplicate copies for a minimum of five years.

Payments/Delivery to Clients

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- Timelines: TM must make payments or deliver securities within one working day of pay-out, unless client requests otherwise.

Brokerage

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- Maximum Charge: Fixed at 2.5% of the contract price (exclusive of statutory levies) for CM segment trades.
- Inclusion: Maximum brokerage includes sub-brokerage.
- Disclosure: Brokerage must be indicated separately from the price on the contract note.

Separate Bank Accounts (Clients & Brokers)

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- Requirement: TM must maintain separate bank accounts for client's funds and own funds.
- Purpose: Client funds transferred to clearing account for pay-in obligations, and vice-versa for pay-out.
- Restriction: No payments for transactions where TM acts as principal can be made from client's account.

Segregation of Demat (Beneficiary) Accounts

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- Requirement: Trading members must keep dematerialised securities of constituents in a separate beneficiary account distinct from their own.
- Restriction: No delivery for own transactions allowed from constituents' account.
- Constituents' Beneficiary Account: Every TM must open an account exclusively for constituent securities.

Investor Service Cell (ISC)

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- Function: Handles investor complaints against trading members/companies regarding transactions.
- Process: ISC forwards complaints to TMs for resolution, follows up, and tries to resolve administratively.
- Arbitration: If administrative resolution fails, investors are advised to use the prescribed arbitration mechanism (a quasi-judicial process).

Code of Advertisement

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- Compliance: Trading Members must comply with the Exchange's Code of Advertisement.
- Approval: Advertisements require prior approval from the Exchange before publication.
- Content: Must include Name of Stock Broker, registered office address, SEBI Registration Number, Stock Broker ID, and logo.
- Mandatory Warning: Must contain a standard warning in legible fonts (min 10pt): 'investments in securities market are subject to market risks, read all the related documents carefully before investing.'
- Audio-Visual Ads: Warning must be visual and audible.
- Prohibitions: No misleading/deceptive testimonials. No celebrities. Statistical info/charts/graphs must be sourced.